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Supreme Court No. 100129-1
(Thurston County Superior Court Cause No. 21-2-01112-34)

SUPREME COURT OF
THE STATE OF WASHINGTON

HARDEL MUTUAL PLYWOOD
CORPORATION, a Washington corporation,
Petitioner,

v.

LEWIS COUNTY,
Respondent.

MOTION FOR DISCRETIONARY FOR REVIEW

APPEAL FROM ORDER OF THE
THURSTON COUNTY SUPERIOR COURT
Honorable Erik D. Price

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I. IDENTITY OF PETITIONER

Petitioner Hardel Mutual Plywood Corporation ("Hardel"), Plaintiff below, seeks the relief in Section II.

II. DECISION

Petitioner asks this Court to grant review of the trial court order entered July 23, 2021, transferring venue from Thurston County to Lewis County, Appendix ("App.") 45-46, and set it for expedited consideration on simultaneous supplemental briefs.

III. ISSUES PRESENTED FOR REVIEW

1. Whether the trial court erred in ruling that venue was proper in Lewis County but not Thurston County, when the applicable statutes and cases allow venue in Thurston County and transfer means the Lewis County judge hearing the case will be financially interested in the outcome, violating due process and the appearance of fairness?

2. Whether venue in a property tax refund action against a county is proper, and suit may be brought at the option of the plaintiff, in a neutral adjacent county pursuant to RCW 36.01.050 and principles of due process and fundamental fairness, or whether the only proper venue is in the county to which the taxes were paid, as specified in RCW 84.68.050?

3. Whether discretionary review should be granted because the Order changing venue from Thurston County to the taxing, defendant county – Lewis County – is obvious error that

renders further proceedings useless since the venue change results in the case being decided by a judge in the taxing county who will have a personal financial interest in the outcome, violating due process and the appearance of fairness?

4. Whether discretionary review should be granted because the venue decision cannot be corrected on appeal?

5. Whether discretionary review should be granted where both parties requested certification of the issue as a controlling question of law that will materially advance the ultimate termination of the case?

6. Whether the trial court followed the proper rules of statutory construction, which require that seemingly conflicting statutes must be harmonized first if possible, rather than mechanically choosing one over the other based on applying unnecessarily rigid rules of interpreting mandatory/permissive and general/specific statutes?

IV. STATEMENT OF THE CASE

This Motion for Discretionary Review ("MDR" or "Motion") relies on and incorporates by reference Hardel's Statement of Grounds for Direct Review ("*Grounds*") and its appendix ("SOG App. __"), filed herein on September 3, 2021. Basic facts are restated for purposes of this narrative.

Hardel is the owner of real and personal property subject to tax in Lewis County, Washington. Hardel believed the taxes

imposed were in excess of the amount owed and, after paying the taxes under protest, drafted a Complaint against the Respondent Lewis County seeking a refund. App. 1-7.

As the plaintiff in an action to recover property taxes, Hardel had a choice of venue under two statutes. The first venue statute, RCW 36.01.050 (the "Adjacent County Statute"), has provided since 1854 that "**All** actions against **any** county may be commenced" in either "the superior court of such county, or in the superior court of either of the two nearest judicial districts" as determined by the administrative office of the courts. RCW 36.01.050(1), (2) (emphasis added).[1] Hardel filed its complaint in Thurston County, an adjoining county specified by the administrative office of the courts since by the plain terms of the statute, venue was proper there.

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[1] RCW 36.01.050 states in relevant part:

(1) All actions against any county may be commenced in the superior court of such county, or in the superior court of either of the two nearest judicial districts. . . .

(2) The determination of the nearest judicial districts is measured by the travel time between county seats using major surface routes, as determined by the administrative office of the courts.

The Adjacent County Statute was included in the original Territorial Code of 1854 ("1854 Code"), p. 326 §6, SOG App. 15-17. The 1854 enactment also applied to "**All** actions against **any** county…". *Id.* (emphasis added).

Lewis County however, believed a second statute applied and trumped the first. The County asserted that a tax venue statute for property tax refund claims, RCW 84.68.050,[2] takes precedence as a "specific statute" over RCW 36.01.050, which the County argued was a general venue statute so that, shortly after the Complaint was filed, counsel corresponded about venue. App. 31, ¶¶4-6. The County also asserted the tax venue statute controlled because it is "mandatory" while the general venue statute is "permissive", making venue proper only in Lewis County, and provided Hardel authorities that allegedly showed Hardel filed its case in the wrong county. *Id.,* ¶¶7-8. Hardel responded that venue was proper under RCW 36.01.050(1) which governs all actions against counties. App. 32 ¶9.

Lewis County thereafter filed its motion to transfer venue to itself, per CR 12(b)(3). App. 11-18.[3] Hardel opposed, App. 19-32, and the County filed a Reply. App. 33-36. Both parties filed proposed orders following the trial court's July 19, 2021, order that required proposed orders "no later than noon the day

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[2] RCW 84.68.050 reads in relevant part: "The action for the recovery of taxes so paid under protest shall be brought in the superior court of the county wherein the tax was collected or in any federal court of competent jurisdiction[.]"

[3] The parties agreed the County could delay filing its answer until 30 days after the venue dispute was resolved, App. 32, ¶10, so there is no answer in the record.

before the hearing," App. 39,[4] which the parties dutifully filed. App. 37-38 (Lewis County); 40-41 (Hardel). Both proposed orders contained similar language certifying the ruling to the appellate court for immediate review as a controlling issue of law under RAP 2.3(b)(4). *Id.*[5] Hardel also filed a Statement of Additional Authorities before the noon deadline on July 22 for submitting proposed orders. App. 42-44.

The trial court issued its Order Granting Motion to Change Venue on July 23, 2021 ("Order"). App. 45-46. It quoted *Ralph v Weyerhaeuser Company*, 187 Wn.2d 326, 338, 386 P.3d 721 (2016) ("*Ralph*"), then held: "After reading the language of the two statutes, [the court is] persuaded that RCW 84.68.050 is both

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[4] The July 19, 2021 "Order Regarding Scheduled Civil Motion" stated the case would be heard without oral argument, the attorneys "shall not appear in court", that the "Court will issue a written order," and that "Proposed orders must be filed no later than noon the day before the hearing" and the "**hearing may be stricken if no proposed order is filed**." App. 39. (bold by the court).

[5] Lewis County's certification proposal stated (App. 38):

> This Order involves a controlling question of law on the proper venue for this case for which there is [sic] substantial grounds for a difference of opinion. The Court finds that immediate review of this Order under RAP 2.3(b)(4), as requested by the parties, will materially advance the ultimate termination of this case on the question whether it will be tried in Lewis County or Thurston County. The Court therefore certifies this ruling for an interlocutory appeal.

mandatory *and* specific, whereas RCW 36.01.050 is permissive and less specific." App. 46 (italics in original).

The Order did not analyze or apply *Ralph's* directive it had just quoted to treat two equally applicable venue statutes as "complementary", which treatment gives "plaintiffs the option of which statute to proceed under." *Ralph*, 187 Wn.2d at 338. Instead, it granted Lewis County's motion, transferring the case to Lewis County. *Id.* Despite the parties' joint request to the trial court to certify the ruling under RAP 2.3(b)(4) in the proposed orders, the Order contained no certification provision.

Hardel timely filed its notice of direct review and its Statement of Grounds, starting the appeal.

V. ARGUMENT WHY REVIEW SHOULD BE ACCEPTED

A. Accepting Discretionary Review of the Trial Court's Venue Decision is Appropriate Under Settled Law.

This Court stated many years ago that if a plaintiff objects to a venue decision,

> … [plaintiff's] proper remedy [is] to seek [discretionary review] and not to wait until the trial [is] concluded and then ask an appellate court to set aside an unfavorable judgment on the basis that the venue was laid in the wrong county…[T]his court has consistently taken cognizance of [motions for discretionary review of] orders pertaining to venue, so that parties desiring to enforce their statutory rights may have an adequate remedy.

Lincoln v. Transamerica Inv. Corp., 89 Wn.2d 571, 578, 573 P.2d 1316 (1978) (footnote omitted).

In the years since *Lincoln*, Washington appellate courts have adhered to the general rule announced in that case, routinely granting discretionary review of trial court orders, granting or denying a change of venue, and with or without specific reference to a particular provision of RAP 2.3(b).[6]

This Court recently gave effect to *Lincoln*'s general rule by granting direct discretionary review to address the application of competing venue statues in *Ralph,* 187 Wn.2d at 331. *Ralph, Lincoln,* and their progeny support granting review.

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[6] *See*, *e.g.*, *Old Nat. Bank of Wash. v. Rainier Bancorporation*, 18 Wn. App. 353, 354-55, 567 P.2d 695 (1977) (discretionary review granted for probable error); *Kahclamat v. Yakima County*, 31 Wn. App. 464, 465, 643 P.2d 453 (1982) (discretionary review granted of order changing venue); *Roy v. City of Everett*, 48 Wn. App. 369, 370, 738 P.2d 1090 (1987) (discretionary review granted); *Bechtel Civil and Minerals, Inc. v. South Columbia Basin Irr. Dist.,* 51 Wn. App. 143, 752 P.2d 95 (1988) (discretionary review granted); *Hickey v. City of Bellingham*, 90 Wn. App. 711, 713, 953 P.2d 822 (1998) (granting discretionary review); *Hatley v. Saberhagen Holdings, Inc*., 118 Wn. App. 485, 488, 76 P.3d 255 (2003) (discretionary review granted); *Moore v. Flateau*, 154 Wn. App. 210, 212, 225 P.3d 361 (2010) (review granted for obvious error). *See also*, *In re Marriage of Hennemann*, 69 Wn. App. 345, 348, n.3, 848 P.2d 760 (1993) (discretionary interlocutory review encouraged of venue decisions, citing *Lincoln*, to avoid "a second trial and the attendant expense and waste of judicial resources.").

B. Review Should Be Granted Of This Venue Appeal. Both Parties Requested Certification For Immediate Review, Agreeing Immediate Review Will Materially Advance The Ultimate Termination Of the Case.

The trial court's prehearing order required filing proposed orders "**no later than noon the day before the hearing"** under penalty that the **"hearing may be stricken if no proposed order is filed**." App. 39 (emphasis in original). Both parties explicitly agreed that regardless which way the court went, its ruling would involve a controlling question of law for venue and that certification of the court's ruling for an interlocutory appeal under RAP 2.3(b)(4) would materially advance ultimate termination of the case. *See* their respective proposed orders: App. 38 (Lewis County); App. 41 (Hardel).

Review should be granted per RAP 2.3(b)(4) given the joint request via the proposed orders and the judicial preference for addressing venue on appeal promptly.

C. Review Is Proper Because The Ruling That The Tax Venue Statute Controls Over The Adjacent County Statute Because The Tax Statute Is "Mandatory" Is Obvious Error And Any Proceedings In Lewis County Will Be Useless.

Under RAP 2.3(b)(l), this Court may accept discretionary review when "[t]he superior court has committed an obvious error which would render further proceedings useless." Because

the change in venue to Lewis County would result in a useless trial, discretionary review is appropriate.

1. It Was Obvious Error To Ignore This Court's Directives In *Ralph* and *Cossel* To Treat Equally Applicable Venue Statutes As Complementary and, Instead, Focus Solely and Mechanically on the Mandatory-Permissive and General-Specific Rules of Statutory Construction.

The trial court committed obvious error in concluding venue was proper in Lewis County under RCW 84.68.050 and transferring venue, because venue was proper in Thurston County under RCW 36.01.050. This case presents the issue of determining the applicability of competing venue statues, an issue of statutory interpretation reviewed de novo. *Ralph*, 187 Wn.2d at 831; *UW v. Seattle*, 188 Wn.2d at 829. The limited record and legal issues not dependent on further fact development make this suitable for immediate, direct review.

Despite quoting *Ralph*, the trial court ignored this Court's directive to treat "equally applicable" venue statutes as "complementary", thereby giving the plaintiff the option of which venue to choose. Instead, without any analysis, it decided the County's change of venue motion under a rigid application of the mandatory-permissive and general-specific rules of statutory construction: "Reading the language of the two statutes, the Court is persuaded that RCW 84.68.050 is both mandatory

and specific, whereas RCW 36.01.050 is permissive and less specific." App. 46: (emphasis by the court).[7]

Thus, by accepting and mechanically applying this truncated analysis without attempting to reconcile the competing venue statures, the trial court ruled the "mandatory" and "specific" property tax venue statute, RCW 84.68.050, trumped the "permissive" and "general" Adjacent County Statute, RCW 36.01.050. This was obvious error because it ignored this Court's directives in *Ralph* and *Cossel v. Skagit County*, 119 Wn.2d 434, 834 P.2d 609 (1992),[8] and their progeny, to consider equally applicable venue statutes as complementary.

This Court held in *Cossel*, and reaffirmed in both *Ralph* and *University of Washington v. City of Seattle*, 188 Wn.2d 823, 833, 399 P.3d 519 (2017) ("*UW v. Seattle"*), that just analyzing competing statutes under the mandatory-permissive or general-specific rules of statutory construction is not enough.

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[7] The trial court apparently adopted the County's argument that "When interpreting venue statutes, the Washington courts have applied mandatory statutes to the exclusion of permissive ones and specific statutes to the exclusion of general ones." *See* App. 13, lines 19-22, (*citing Eubanks v. Brown,* 180 Wn.2d 590, 596 n. 1, 327 P.3d 635 (2014) (mandatory over permissive); *Russell v. Marenakos Logging Co.*, 61 Wn.2d 761, 765, 380 P.2d 744 (1963) (specific over general)).

[8] *Overruled on other grounds by Shoop v Kittitas County*, 149 Wn.2d 29, 65 P.3d 1194 (2003) to confirm that venue statutes are not jurisdictional.

Cossel dealt specifically with venue statutes. It held that, when analyzing two venue statutes, the court must determine whether the two statues are "complementary" and, if so, the plaintiff has a choice of venue because courts must "read the two statutes so as to give each effect and to harmonize each with the other." 119 Wn.2d at 437-38 (citation omitted).

The two venue statutes in *Cossel* were RCW 4.12.020, which had "mandatory" language ("Actions for the following causes ***shall*** be tried in the county where the cause, or some part thereof, arose" (emphasis added)), and the "permissive" language of the Adjacent County Statute at issue here, RCW 36.01.050. This Court held:

> Read together, under these two statutes a plaintiff is given the option of commencing an action against a county in either the adjacent county, the situs county, or a county where one of the defendants resides…. the jurisdiction established under RCW 36.01.050 is complementary to that recognized in RCW 4.12.020…[quotation omitted].
>
> [Citation omitted] Only by finding complementary jurisdiction is it possible to "read the two statutes so as to give each effect and to harmonize each with the other."

Cossel at 437-38 (internal citations and quotations omitted). *Accord, Ralph*, 187 Wn.2d at 338, citing *Cossel*.

The trial court here did not read RCW 36.01.050 and RCW 84.68.050 together, or determine if they are complementary.

Instead, it jumped to a determination that RCW 84.68.050 was "mandatory" and "specific", rejecting RCW 36.01.050 as a proper venue statute in this case because, apparently, it was "permissive" and "less specific." App. 46. Under the correct analysis of two venue statutes, a plaintiff is given the option of commencing an action against a county in either the superior court of the county itself or the superior court of an adjacent county. The trial court's failure to give Hardel that choice was obvious error.

Cossel holds that reading RCW 36.01.050 as merely permissive due to the use of the word "may" would "take[] all meaning out of the RCW 36.01.050 language." *Id.* Here, the property tax venue statute, RCW 84.68.050, uses the word "shall"; but *Cossel* makes clear that this fact is not determinative,[9] nor does it compel a ruling that venue is always in the county where the taxes were paid.

The trial court's truncated ruling also ignored the central point in *Ralph*: "when confronted with *two equally applicable statutes*, we have held that they may be interpreted as

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[9] This Court has confirmed that the use of "shall" is not determinative in a tax statute. *Spokane County ex rel. Sullivan v. Glover*, 2 Wn.2d 162, 169, 97 P.2d 628 (1940) ("In our own tax code the word 'shall' is used in almost every section, and it is apparent that it is employed indiscriminately in both the imperative and the permissive sense.").

'complementary,' *giving plaintiffs the option of which statute to proceed under*" – even though the trial court quoted this statement in its order. *Ralph* 187 Wn.2d at 338 (emphasis added). While *Ralph* involved two "mandatory" statutes, under *Cossel* the same "complementary" analysis must be undertaken in this case with one "mandatory" and one "permissive" venue statute, which the trial court failed to do. Accordingly, the trial court committed obvious error by limiting its analysis to the mandatory-permissive analysis and ignoring *Ralph's* and *Cossel's* analyses. *Accord, UW v. Seattle,* 188 Wn.2d at 833 ("…before applying the general-specific rule, [the court] must identify a conflict between the relevant statutes that cannot be resolved or harmonized by reading the plain statutory language in context.").

The strict, mechanical application of the mandatory-permissive and general-specific rules, as was done here by the trial court, is inconsistent with *Cossel, UW v. Seattle,* and *Ralph.* Review should be granted to correct the obvious error.

2. Transferring Venue Away From Thurston County to Lewis County Where The Judge Hearing The Case Will Have a Financial Interest In the Outcome Creates An Untenable Violation of Due Process and the Appearance of Fairness Which Will Render That Proceeding Useless.

The public policy behind RCW 36.01.050 is rooted in the concepts of due process and the appearance of fairness: A plaintiff must be accorded an impartial, neutral, and unbiased forum to present its claims against a county, and it must appear unbiased. *See Grounds* at 8-12, showing this recognition in the statutory and legislative history and appellate decisions. The policy embodied in RCW 36.01.050 was expressed in *Cossel*:

> The policy is apparently to provide plaintiffs with alternative forums without the need to demonstrate bias or impartiality in any other forum. The statute affords a degree of protection to plaintiffs suing counties without unduly burdening the county officials who must respond to the charges.

119 Wn.2d at 438. *See Grounds*, pages 8-12.

The trial court disregarded these considerations in moving the proceedings to Lewis County Superior Court. Under *Briedablik et al. v. Kitsap Cy.*, 33 Wn.App. 108, 118, 652 P.2d 383 (1982)[10] ("*Briedablik*"), quoted at length in Hardel's additional authority (App. 43) and in its Statement of Grounds at

[10] *Overruled on other grounds* in *Save Our Rural Env't v. Snohomish Cy.*, 99 Wn.2d 363, 367, 662 P.2d 816 (1983).

p. 9, Hardel had a choice of venue under RCW 84.68.050 *or* RCW 36.01.050. If Hardel chose venue under RCW 36.01.050 it could do so without the need to demonstrate bias or impartiality in Lewis County. The Adjacent County Statute is intended to afford a degree of protection of the right to an unbiased hearing to plaintiffs like Hardel who are suing counties, without unduly burdening the county officials who must respond to the claims of the plaintiff/taxpayer. *Cossel; Breidablik.* It has provided that protection since 1854, when travel was far more cumbersome and time-consuming than in today's electronic and Zoom-hearing age.

The protections in RCW 36.01.050 as to the fairness of the forum are for the plaintiff-Hardels of the world, not the counties or the State. *Briedablik,* 33 Wn.App. at 119. *Breidablik* makes it abundantly clear that no plaintiff suing a county should be required to appear in the superior court of that county, whose county officials exercise financial control over the budgets of the court.

But there is more than just the taxing county's budgets. The structure of the tax refund provisions creates an untenable situation by creating personally biased decision-makers if the tax appeal is heard in the taxing county. *Grounds* at 12-14. This is because the judge hearing the case not only has to be concerned about the impact of any refund on his or her court budget, as

noted in *Briedablik*. As a resident of the taxing county, the judge also is personally subject to the mandatory refund levy that is required to pay the refund. Requiring such a personally interested adjudicator violates state and federal principles of due process and the appearance of fairness. *See Grounds* at pp. 11 & 12-14, citing *State ex rel. Barnard v. Bd. of Educ. of City of Seattle*, 19 Wash. 8, 52 P. 317 (1898), *Godfrey v. Ste. Michelle Wine Estates Ltd*, 194 Wn.2d 957, 453 P.3d 992 (2019), and *Ward v. Village of Monroeville, Ohio*, 409 U.S. 57 (1972). *Accord, Caperton v. A.T. Massey Coal Co., Inc.*, 556 U.S. 868 (2009).

The judge's personal financial interest in each refund case is confirmed by the Department of Revenue's revised manual for property tax levies. *See* Wa. State Dep't of Revenue, *Property Tax Levies Operations Manual* (Sept. 2021), published at https://dor.wa.gov/sites/default/files/legacy/Docs/Pubs/Prop_Tax/LevyManual.pdf (last viewed 9/12/21) ("DOR Manual"; excerpts at App. 47-49).

The DOR Manual details what happens when a refund is required by a successful appeal (an "adjudication") through a series of questions and answers. One shows clearly that a special tax levy will be required on all the taxpayers in every successful case requiring a refund:

Q. ***If a district is ordered to pay <u>an adjudicated refund</u> and they already have the funds to pay it, <u>do they still have to levy for it?</u>***

A. **<u>Yes.</u>** A district may have the county treasurer transfer money from funds already available into the Refund Fund so it can pay the adjudicated refund, **<u>but the district must still levy for it the following year</u>**. When the amount of the refund is added to the following year's levy and tax revenues are received by the county treasurer, the treasurer should deposit the tax revenues attributable to the refund back into the original source.

DOR Manual at 143, App. 49 (bold italics in original; bold underline added).

The DOR Manual confirms that a tax levy will be required each and every time a refund is ordered. Every refund will personally tax the judge in the taxing county who hears the appeal and decides how much (if any) will be refunded, since every judge must live in the county to hold their office. Every property tax refund action is subject to this fundamental breach of the right to a fair hearing.

Sometimes refunds are large, as seen in the Grays Harbor case documented in the Mastrodonato Declaration (over $1 million), and as shown in the recent decision of *Western Rivers Conservancy v. Stevens County*, __ Wn.App.2d ___, 490 P.3d 249, (2021) (affirming refund order in action brought in Spokane County for refund of $194,652.18, plus interest, for payment made in 2015), *petition for review pending* on intergovernmental

tax immunity issue, No. 100036-7. The DOR Manual excerpt demonstrates that size is not an issue – every tax refund will result in a levy.

These considerations are in the forefront of plaintiff-taxpayers in deciding whether to file a refund action in an adjacent county or in the taxing county. It is not surprising that a conservation organization, Western Rivers Conservancy, filed its tax appeal in neighboring Spokane County rather than Stevens County, the taxing county, to determine if it was owed a refund of the substantial taxes it paid to challenge their validity. A mindful plaintiff/taxpayer will file in an adjacent county if they understand that the judge in the taxing county to whom the case will be tried is an elected county employee and a county taxpayer who, per the tax statutes, will have to make his or her own payment for any refund by a special tax levy. As the court in *Briedablik* aptly stated, "Requiring private litigants to try their cases under such circumstances violates the tenets of the appearance of fairness doctrine." *Accord, Barnard, Godfrey, Ward,* and *Caperton, supra.*

Hardel seeks a neutral forum in a nearby county to try its property tax refund action against Lewis County. The trial court denied Hardel that opportunity through a blind adherence to the mandatory-permissive and general-specific rules of statutory construction. This case presents an opportunity for the Court to

strengthen the protections afforded by RCW 36.01.050 to plaintiffs like Hardel, while also addressing the structural impropriety of the tax venue statute in Washington's tax appeal and refund scheme adopted in 1931. *See Grounds* at pp. 14-17.

The Adjacent County Statute was enacted by the Legislature in 1854, and reaffirmed in 1997, for precisely these situations – to ensure the fundamental fairness of the litigation process for plaintiffs who might otherwise believe they will not get a fair trial against the taxing county in the taxing county's own court. *See Grounds* at pp. 10-12 and SOG App. at 7-17.

This Court should grant discretionary review in order to: (1) decide for the first time whether the Adjacent County Statute applies to property tax refund actions which also can be brought under RCW 84.68.050; (2) make permanent – and reaffirm – the principles stated in *Cossel, Ralph,* and *Briedablik* as to both the purpose of the Adjacent County Statute and the correct analysis for trial courts to address competing venue statutes; and (3) decide if RCW 84.68.050 must be stricken as a violation of state and federal guarantees of due process and fundamental fairness in every hearing.

3. The Trial Court's Obvious Error Rendered Further Proceedings Useless.

Venue decisions fundamentally alter the course of the proceedings as a whole. Any alleged error regarding such a

decision presents an issue of whether the case can "go forward" in the present venue, *Hickey*, 90 Wn. App. at 712, and an appellate court's determination of error would require remand for a new trial after appellate review. *See, e.g.*, *Kahclamat*, 31 Wn. App. 464, 465, 643 P.2d 453 (1982); *Roy v. City of Everett*, 48 Wn. App. 369, 370, 738 P.2d 1090 (1987). Thus, venue decisions "render further proceedings useless," and discretionary review of such decisions avoids the problems of "a second trial and the attendant expense and waste of judicial resources." *In re Marriage of Hennemann*, 69 Wn. App. at 348 n.3.

These reasons surely were behind the Court's grant of direct, discretionary review in the *Ralph* case, which confirms review is appropriate in Hardel's case as well. The due process violation arising from the tax statutes' structure emphasizes the uselessness of any future proceedings in Lewis County. This Court should accept review under RAP 2.3(b)(l).

D. Alternatively, Review Should Be Granted Because The Order Transferring Venue Constitutes Probable Error That Substantially Alters the Status Quo.

If this Court believes review is not warranted under RAP 2.3(b)(l) or pursuant to certification per subsection (4), then it is warranted as probable error under RAP 2.3(b)(2). Even if this Court concludes Hardel has not demonstrated the venue decision constitutes "obvious" error, it has met RAP 2.3(b)(2)'s standard

of "probable" error for all the reasons discussed above, and the trial court's probable error substantially altered the status quo.

With the trial court's transfer of venue, the entirety of the local forum characteristics for this litigation have been changed by the potential judges' financial considerations in litigating in Lewis County, as opposed to Thurston County. It is unsurprising that Washington appellate courts have held that venue change decisions meet RAP 2.3(b)(2)'s requirements for discretionary review. *See*, *e.g.*, *Old Nat 'l Bank of Wash.*, 18 Wn. App. at 355.

Because this case presents those very circumstances, it meets the "status quo" prong of RAP 2.3(b)(2). Accordingly, this Court should grant Hardel's motion for discretionary review.

VI. CONCLUSION

Hardel asks the Court to grant discretionary review of the July 23, 2021, Order transferring venue from Thurston County to Lewis County, and set the matter for expedited consideration. Given the nature of the issues and the small record, Hardel is prepared to proceed with simultaneously filed supplemental briefs of up to 4,000 words, in addition to the Statement of Grounds and MDR briefing, in lieu of the usual sequential merits briefs, or such other protocol as the Court prescribes.

I certify that this document contains 4,711 words, in compliance with RAP 18.17, exclusive of words contained in the appendices, the title sheet, the table of contents, the table of

authorities, the certificate of compliance, the certificate of service, signature blocks, and pictorial images.

Dated this 14th day of September, 2021.

CARNEY BADLEY SPELLMAN, P.S.

By*/S/ Gregory M. Miller*
George C. Mastrodonato, WSBA No. 7483
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CERTIFICATE OF SERVICE

The undersigned certifies under penalty of perjury under the laws of the State of Washington that I am an employee at Carney Badley Spellman, P.S., over the age of 18 years, not a party to nor interested in the above-entitled action, and competent to be a witness herein. On the date stated below, I caused to be served a true and correct copy of the foregoing document on the below-listed attorney(s) of record by the method(s) noted:

☒ Via court e-filing website/Portal, which sends notification of such filing to the following:

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DATED this 14th day of September, 2021, at Renton, Washington.

/s/ Elizabeth C. Fuhrmann
Elizabeth C. Fuhrmann, Legal Assistant

APPENDIX

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Complaint for Refund of Property Taxes Appendix ("App.")-1-7

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Defendant Lewis County's Memorandum of Points and Authorities in Support of Their Motion for a Change of Venue Pursuant to CR 12(b)(3) ..... App. 11-18

Plaintiff's Response in Opposition to Defendant's Motion to Change Venue to Lewis County Superior Court Pursuant to CR 12(b)(3) ..... App. 19-30

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Defendant Lewis County's Reply to Plaintiff's Opposition to Defendant's Motion to Change of Venue to Lewis County Superior Court Pursuant to CR 12(b)(3) ..... App. 33-36

[Defendant's] (Proposed) Order Granting Defendant Lewis County's Motion to Change Venue to Lewis County Superior Court Pursuant to CR 12(b)(3) ..... App. 37-38

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[Plaintiff's Proposed] Order Denying Defendant's Motion to Change Venue to Lewis County Superior Court Pursuant to CR 12(B)(3) ..... App. 40-41

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Wa. State Dep't. of Revenue, Property Tax Levies
Operations Manual, (Sept. 2021) ..... App. 47-49

☐ EXPEDITE
☐ Hearing is set
Date:_____
Time:_____
Judge/Calendar:_____

☒ No hearing is set.

IN THE SUPERIOR COURT OF THE STATE OF WASHINGTON
IN AND FOR THE COUNTY OF THURSTON

HARDEL MUTUAL PLYWOOD CORPORATION, a Washington corporation, Plaintiff, v. LEWIS COUNTY, Defendant.	NO. 21-2-01112-34 COMPLAINT FOR REFUND OF PROPERTY TAXES

PARTIES AND NATURE OF ACTION

1. Plaintiff Hardel Mutual Plywood Corporation (hereinafter referred to as "Plaintiff") is a corporation, duly organized and existing under the laws of the State of Washington. Plaintiff is in good standing with, and has paid all fees due and owing to, this State.

2. Defendant Lewis County (hereinafter referred to as "Defendant" or the "County") is a municipal corporation and political subdivision of the State of Washington. Defendant is responsible for assessing and collecting property taxes by and through its Assessor and Treasurer.

3. This is an action for refund of unlawful and excessive property taxes paid by the Plaintiff to the Defendant in the years 2020 and 2021.

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VENUE

4. Under RCW 84.68.050, venue for an action to recover property taxes shall be brought in the superior court of the county wherein the tax was collected. The taxes at issue in this case were collected by the Lewis County Treasurer.

5. Venue for any action against the County is also proper in Thurston County pursuant to RCW 36.01.050. This statute reads, "[a]ll actions against any county may be commenced in the superior court of such county, or in the superior court of either of the two nearest judicial districts" as determined by the Washington State "administrative office of the courts." RCW 36.01.050(1), (2).

6. The administrative office of the courts has determined that Thurston County is one of the two nearest judicial districts to Lewis County, therefore, venue is proper in the superior court of this County.

FACTS AND ALLEGATIONS

7. Plaintiff owns and operates a plywood manufacturing facility whose principal office and place of business is located at 143 Maurin Road, Chehalis, Lewis County, Washington, 98532. Plaintiff manufactures standard and custom plywood panels at this mill.

8. During the periods at issue, Plaintiff was the owner of several tax parcels identified by the Defendant as follows:

a. Tax Parcel # 017755001000 47.34 Acre Mill Site/Land/Improvements
b. Tax Parcel # 003628001000 Commercial Lot*
c. Tax Parcel # 003629003000 Commercial Lot*
d. Tax Parcel # 777000000035 Machinery and Equipment
e. Tax Parcel # 730090141025 Personal Property

*The "Commercial Lots" (items b and c above) were not included in the disputed assessments or advisory appraisal, and were recently sold by Plaintiff. Therefore, the value of, and property taxes paid on, these two parcels are not at issue in this appeal. The values of the other Tax Parcels listed above (items a, d and e) are disputed and are hereinafter referred to as the "Subject Property."

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9. The Lewis County Assessor values property each year as of January 1 (the "assessment year") under RCW 84.40.020, and the Lewis County Treasurer collects the taxes on the property pursuant to RCW 84.56.020. *See Transamerica Title Ins. Co. v. Hoppe*, 26 Wn. App. 149, 153, 611 P.2d 1361 (1980) ("Under the Washington taxing system, taxes are levied by the . . . County [Treasurer] after values have been assessed [by the Assessor]. The [Treasurer]'s office subsequently sends out tax bills in February of the year following the assessment year. Taxes on the property assessed are payable [in two installments] by April 30th [and October 31st] of the year following the assessment year").

10. The Assessor is required to value property "at one hundred percent of its true and fair value" defined for taxation purposes to "be based upon . . . [a]ny sales of the property being appraised or similar properties with respect to sales made within the past five years." RCW 84.40.030(1), (3)(a). In addition to sales, the Assessor may give "consideration . . . to cost, cost less depreciation, reconstruction cost less depreciation, or capitalization of income that would be derived from prudent use of the property." RCW 84.40.030(3)(b).

11. The property owner also has certain duties related to the assessment of property. "Every person required . . . to list property shall make out and deliver to the assessor . . . a statement of all the personal property in his or her possession or under his or her control, and which, . . . he or she is required to list for taxation, either as owner or holder thereof." RCW 84.40.190. Further, every person defined as a "manufacturer" under RCW 84.40.210 "shall, when required to, make and deliver to the assessor a statement of the amount of his or her other personal property subject to taxes, [and] include in his or her statement the value of all articles purchased, received, or otherwise held for the purpose of being used in whole or in part in any process or processes of manufacturing[,] . . . [including] the value of all engines and machinery of every description used or designed to be used in any process of . . . manufacturing except such fixtures as have been considered as part of any parcel of real property, including all tools and implements of every kind, used or designed to

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be used for the first aforesaid purpose." RCW 84.40.210. "Upon receipt of the statement of personal property, the assessor shall assess the value of such property." RCW 84.40.060.

12. As noted, property is assessed as of January 1 each year. "Each county assessor must maintain an active and systematic program of revaluation on a continuous basis." RCW 84.41.030(1). "All taxable real property within a county must be revalued annually." *Id*. Further, the Washington State Department of Revenue is available to "provide advisory appraisals of industrial properties valued at twenty-five million dollars or more in real and personal property value when requested by the county assessor" (RCW 84.41.030(2)) when such property "either (1) requires specialized knowledge not otherwise available to the assessor's staff, or (2) because of an inadequate staff, cannot be completed by the assessor within the time required' by law" (RCW 84.41.060).

13. Plaintiff has, at all times, complied with the assessment requirements set forth above with respect to the Subject Property. From time to time, the Lewis County Assessor has requested assistance from the Department of Revenue in the valuation of the Subject Property. For example, for the January 1, 2011, assessment the County Assessor retained the Department to perform an appraisal of Plaintiff's real and personal property. In that appraisal, the Department valued the Subject Property, using the income capitalization method of valuation.

14. In 2017, the Department was again retained to perform an advisory appraisal of the Subject Property. This resulting valuation was based primarily on the cost approach.

15. Most recently and pertinent to this appeal, the Department of Revenue provided an advisory appraisal for the January 1, 2020, assessment. In this appraisal, the Department recommended that the value of the Subject Property be $80,100,000, based entirely on the income approach. The County Assessor accepted the Department's advisory appraisal and allocated the values as follows:

a. Tax Parcel # 017755001000 Mill Site & Imp. $65,341,400

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b. Tax Parcel # 777000000035 Machinery & Equip. $14,258,200
c. Tax Parcel # 730090141025 Personal Property $ 500,391

16. The County Assessor valued the Subject Property for assessment year 2019 (taxes payable in 2020) in the amount of $49,447,272. As noted above, the County Assessor valued the subject property for assessment year 2020 (taxes payable in 2021) in the amount of $80,323,591.

17. On April 20, 2020, Plaintiff paid the first half 2020 property taxes on the Subject Property. The taxes, in the total amount of $293,927.42, were paid under written protest pursuant to RCW 84.68.020 and WAC 458-18-215. On June 4, 2020, the County Treasurer acknowledged receipt of Plaintiff's "payment of property taxes '. . . Under Protest[,]'"stating that "[i]f at any time you receive a court ordered refund . . ., contact our Office to initiate your repayment."

18. On October 19, 2020, Plaintiff paid the second half 2020 property taxes on the Subject Property in the amount of $293,927.45, which was also paid under written protest pursuant to RCW 84.68.020 and WAC 458-18-215. On October 26, 2020, the County Treasurer acknowledged Plaintiff's "payment of property taxes '. . . Under Protest[,]'"stating that "[i]f at any time you receive a court ordered refund . . ., contact our Office to initiate your repayment."

19. On April 19, 2021, Plaintiff paid the first half 2021 property taxes on the Subject Property. The first half 2021 taxes, in the amount of $445,303.35, were likewise paid under written protest pursuant to RCW 84.68.020 and WAC 458-18-215. On April 22, 2021, the County Treasurer acknowledged receipt of Plaintiff's check "Paid Under Protest.

20. Because the taxes described in paragraphs 17, 18 and 19 above were paid by Plaintiff under written protest pursuant to RCW 84.68.020 and WAC 458-18-215, Plaintiff is allowed to "bring an action in the superior court . . . against the . . . county . . . by whose officers the same was collected, to recover such tax, or any portion thereof, so paid under protest" so long as the "action instituted . . . to recover any tax levied or assessed [is]

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commenced [by] the 30th day of the next succeeding June following the year in which said tax became payable." RCW 84.68.060.

21. The County Assessor erroneously valued the Subject Property for assessment years 2019 and 2020 (taxes payable in 2020 and 2021). For example, the assessment for January 1, 2020, was erroneously based exclusively on the advisory appraisal's income approach to value. The income approach determines a total enterprise value, which includes the value of nontaxable intangible assets, whereas only real and personal property are subject to taxation. The County Assessor then erroneously allocated the $80,100,000 advisory appraisal value between the three tax parcels of the Subject Property, allocating most of the value ($65,341,400) to Tax Parcel # 017755001000 (Mill Site Land and Improvements). In addition, it is unclear how the County Assessor valued the Subject Property in assessment year 2019 because, to Plaintiff's knowledge, the Department of Revenue did not perform an advisory appraisal for that year and the Assessor provided no explanation to Plaintiff of the valuation for assessment year 2019.

22. The County Assessor's valuation for assessment year 2020 (as well as assessment year 2019) were flawed. The Assessor erroneously determined the value of the Subject Property using the income approach, apparently determining the value of the two personal property tax parcels using the cost approach and assigning a portion of the value under the income approach to these two parcels, and then allocating the remaining value under income approach to Tax Parcel # 017755001000 (Mill Site Land and Improvements). The result was a significant over-assessment of Tax Parcel # 017755001000 and over-assessment of the Subject Property.

23. As a result of the erroneous assessments described above, Plaintiff paid taxes on the Subject Property to the County Treasurer in the years 2020 (first and second half payments) and 2021 (first half payment) in excess of the taxes properly due in those years.

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Therefore, Plaintiff is entitled to a refund of all excess property taxes paid on the Subject Property in the years 2020 and 2021.

CLAIM FOR RELIEF

Wherefore, Plaintiff prays for judgment against Defendant for a refund of the illegal, unlawful and excessive property taxes paid on the Subject Property in in the years 2020 and 2021, in amounts to be determined by the Court, together with interest thereon, and attorneys' fees and costs as allowed by law.

DATED this 16th day of June, 2021.

CARNEY BADLEY SPELLMAN, P.S.



George C. Mastrodonato WSBA #7483
Attorneys for Plaintiff
Hardel Mutual Plywood Corporation

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SUPERIOR COURT OF THE STATE OF WASHINGTON

IN AND FOR THE COUNTY OF THURSTON

HARDEL MUTUAL PLYWOOD CORPORATION, a Washington corporation, Plaintiff, v. LEWIS COUNTY, Defendant.	Case No. 21-2-00112-34 DEFENDANT LEWIS COUNTY'S MOTION TO CHANGE OF VENUE TO LEWIS COUNTY SUPERIOR COURT PURSUANT TO CR12(B)(3)

I.

MOTION

PLEASE TAKE NOTICE that Defendant Lewis County, pursuant to CR 12(b)(3) hereby moves this honorable court for an order changing venue and transferring this action from Thurston County Superior Court to Lewis County Superior Court.

II.

FACTUAL BACKGROUND

The complaint in this case was filed on June 16, 2021 and seeks a refund of assessed taxes that were paid under protest pursuant to Revised Code of Washington ('RCW' herein) 84.68. The complaint states that venue is appropriate under RCW 36.01.050. This case, however,

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falls under RCW 84.68.050 which requires this specific type of action against a county to be brought in the county in which the tax was assessed.

III.

STATEMENT OF ISSUE

1. Should venue be transferred to Lewis County?

POINTS AND AUTHORITIES

A full memorandum of points and authorities will be filed with the Court and served on Plaintiff in advance of the scheduled hearing date pursuant to Superior Court rules.

VI.

CONCLUSION

For the reasons set forth above, this Honorable Court should grant Defendant Lewis County's motion for an order changing venue and transferring this action from Thurston County Superior Court to Lewis County Superior Court, pursuant to CR 12(b)(3).

Dated June 22, 2020

JONATHAN L. MEYER
Prosecuting Attorney of Lewis County

Andrew Logerwell, WSBA No. 38734
Civil Deputy Prosecuting Attorney
Attorneys for Defendant Lewis County

DECLARATION OF SERVICE

The undersigned hereby certifies under penalty of perjury under the laws of the State of Washington that on the date set forth below, the undersigned mailed or caused delivery

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of a true copy of this document to the attorney for the Plaintiff, George Mastrodonato, Carney Badley Spellman, P.S., 701 Fifth Avenue, Suite 3600, Seattle, WA 98104-7010.

DATED June 22nd, 2021 in County of Lewis, Washington.

Natalie Dunlap
Civil Paralegal Lewis County

LEWIS COUNTY
PROSECUTING ATTORNEY'S OFFICE
345 West Main Street, 2nd Floor
Chehalis, Washington 98532
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Honorable Erik D. Price
Hearing Date: **July 23, 2021**
Hearing Time: **9:00 a.m.**

SUPERIOR COURT OF THE STATE OF WASHINGTON

IN AND FOR THE COUNTY OF THURSTON

HARDEL MUTUAL PLYWOOD CORPORATION, a Washington corporation,

Plaintiff,

v.

LEWIS COUNTY,

Defendant.

Case No. 21-2-00112-34

DEFENDANT LEWIS COUNTY'S MEMORANDUM OF POINTS AND AUTHORITIES IN SUPPORT OF THEIR MOTION FOR A CHANGE OF VENUE PURSUANT TO CR12(B)(3)

COMES NOW, Defendant Lewis County by and through their attorney of record Deputy Prosecuting Attorney, Andrew Logerwell, and offers this memorandum of points and authorities in support of their previously filed motion for change of venue.

I.

SUMMARY OF ARGUMENT

The proper venue for this action is Lewis County Superior Court. Washington law holds that a more specific venue statute trumps a more general statute and that a mandatory

statute trumps a permissive one. When it comes to venue, the most general statute holds a suit *may* be initiated in the county where the defendant resides. The next more specific statute holds that in an action against a county, generally speaking, the suit *may* be maintained in the county being sued or one of two adjacent counties. The most specific and mandatory, and thereby controlling, statute says a tax refund action against a county *shall* be brought in the superior court within the county that made the tax assessment. Here, the most specific statute controls and mandates that this action be maintained in the Superior Court for Lewis County.

Defendant's motion should be granted.

II.

CAUSE OF ACTION IN THIS MATTER

This case has been brought in superior court for a refund of taxes paid under protest after a property assessment. *See* Plaintiff's Complaint for Refund of Property Taxes ('Compl.' Herein), ¶ 3, 21-23. In Washington, taxpayers have two options. They can refuse to pay a tax assessment and then seek review. In doing so, they risk having penalties and interest accrue during the pendency of the case. Or, as the plaintiff has done in this case, they can pay the taxes, include a letter of protest and then seek a refund of the taxes they allege have been inappropriately assessed. *See* Revised Code of Washington ('RCW' herein) 84.68.020.

The complaint alleges that three out of five parcels were incorrectly valued inflating the Plaintiff's tax liability. *See* Compl. ¶ 21. Despite the mandatory language of RCW 84.68.050, Plaintiff has alleged that venue is proper in Thurston County. *See* Compl. ¶ 4-5. That is incorrect.

Tax assessment cases fall under RCW 84.68. *Compl.* ¶ 4. Within that statute is a specific venue section for actions against a county. *See* RCW 84.68.050. The venue provision requires a tax refund option to be brought in the county where the taxes were assessed.

III.

ARGUMENT

Venue in Washington State is governed by statute. *See Shoop v. Kittitas County*, 108 Wn. App. 388, 396, 30 P.3d 529 (2001) (in contrast to subject matter jurisdiction of the superior court, venue is appropriate subject for legislation), *aff'd*, 149 Wn.2d 29, 65 P.3d 1194 (2003). Venue rules are intentionally drafted to limit a plaintiff's choice of forum in order to ensure that the lawsuit's locality has some logical relationship to the litigants or to the dispute's subject matter. *Shoop*, 108 Wn. App. at 396. In the absence of a specific, controlling statute, those rules provide several places where venue may be proper and in those cases, generally speaking, "the choice lies with the plaintiff in the first instance." *Baker v. Hilton*, 64 Wn.2d 964, 965, 395 P.2d 486 (1964); *see also Russell v. Marenakos Logging Co.*, 61 Wn.2d 761, 765, 380 P.2d 744 (1963) (plaintiffs should not be allowed to select forums indiscriminately). That is not the case here.

When interpreting venue statutes, the Washington courts have applied mandatory statutes to the exclusion of permissive ones and specific statutes to the exclusion of general ones. See Eubanks, 180 Wn.2d at 596 n.1 (mandatory over permissive); Russell, 61 Wn.2d at 765 (specific over general). Ralph v. Weyerhaeuser Co., 187 Wn.2d 326, 338, 386 P.3d 721, 726, 2016 Wash. LEXIS 1381, *10-11*Sim v. Wash. State Parks & Recreation Comm'n*, 90 Wn.2d 378, 382-83, 583 P.2d 1193 (1978); *Hickey v. City of Bellingham*, 90 Wn. App. 711, 716, 953 P.2d 822, *review denied*, 136 Wn.2d 1013 (1998). This case involves a

mandatory, specific statute, the venue provision for tax refund cases where the county is the collecting agency.

Three venue statutes are at issue in this case. The first is the general, permissive provision found in RCW 4.12.025(1), which states that "[a]n action *may* be brought in any county in which the defendant resides, or, if there be more than one defendant, where some one of the defendants resides at the time of the commencement of the action." Emphasis added; *See Moore*, 154 Wn. App. at 214-15 (recognizing RCW 4.12.025(1) as default venue provision for civil actions in Washington); *Hickey*, 90 Wn. App. at 716 (describing RCW 4.12.025 as the general venue statute). Under RCW 4.12.025(1), the legislature has decreed that the defendant has a right to have an action against him commenced in the county of his residence, except under specific circumstances governed by other statutes. *Eubanks v. Brown*, 170 Wn. App. 768, 771-772, 285 P.3d 901, 903, 2012 Wash. App. LEXIS 2210, *3-5, 2012 WL 4086519; *see also Russell*, 61 Wn.2d at 765.

A more specific statute covers the case where a county is a party to the action but only in the context of actions generally speaking. RCW 36.01.050, reads, "All actions against any county *may* be commenced in the superior court of such county, or in the superior court of either of the two nearest judicial districts". *See* RCW 36.01.050(1)(emphasis added). That statute doesn't relate to any specific action and, again, is permissive.

The most specific, mandatory and therefore controlling statute in this case is RCW 84.68.050, the tax refund statute. Unlike 4.12 and 36.01.050, 84.68.050 covers counties as defendants in tax refund actions as opposed to defendants generally or counties as defendants generally. 84.68.050 is also mandatory. The RCW section reads as follows (emphasis added):

> **The action for the recovery of taxes so paid under protest shall be brought in the superior court of the county wherein the tax was collected or in any federal court of competent jurisdiction**: PROVIDED, That where the property against which the tax is levied consists of the operating property of a railroad company, telegraph company or other public service company

> whose operating property is located in more than one county and is assessed as a unit by any state board or state officer or officers, the complaining taxpayer may institute such action in the superior court of any one of the counties in which such tax is payable, or in any federal court of competent jurisdiction, and may join as parties defendant in said action all of the counties to which the tax or taxes levied upon such operating property were paid or are payable, and may recover in one action from each of the county defendants the amount of the tax, or any portion thereof, so paid under protest, and adjudged to have been unlawfully collected, together with interest thereon at the rate specified in RCW 84.69.100 from date of payment, and costs of suit.

While Plaintiff in this case is correct that generally speaking, actions against the county may fall under RCW 36.01, a permissive statute, the more specific and therefore controlling statute mandates that this specific kind of legal dispute, the collection of taxes assessed by the County, *shall* be filed in the county in which the taxes were collected.

The Washington Court of Appeals for Division II addressed this issue in *Eubanks* and the cases cited therein. *Eubanks v. Brown,* 170 Wn. App. 768 (Div. 2012). What the Court held was that where the venue provision was specific and related not only to the defendant generally but the more specific case of the nature of the action and was written as a mandatory venue provision that statute would control. The reason the *Eubanks* Court upheld the denial of the motion was because the defendant was not being sued in his official capacity, a circumstance unique to the defendant and thereby triggering the more specific mandatory venue statute.

Instructive in this case is the Court's discussion of *Youker v. Douglas County, 162 Wn. App. 448, 258 P.3d 60, review denied, 173 Wn.2d 1002 (Div. 3, 2011).* In that case, the plaintiff had sued against Douglas County and two deputies alleging malicious prosecution, false arrest, and related claims based on their official actions in the Chelan County Superior Court. Plaintiff argued that the more general provisions of RCW 36.01.050 and 4.12.050(2) allowed the plaintiff to file suit in neighboring Chelan County. Chelan County Superior Court granted a motion to transfer because the more specific statute, RCW

4.12.020(2), specified that Douglas County was the only proper venue in with respect to the deputies who were being sued in their official capacities. The Chelan County court reasoned that although RCW 36.01.050 provided for three acceptable venues in which to sue the county, RCW 4.12.020(2) specified that Douglas County was the only proper venue with respect to the specific case the plaintiff had brought. Youker, 162 Wn. App. at 457-58. Division III affirmed, holding that the statutes applied as written and did not conflict. Youker, 162 Wn. App. at 459-60.

The same result was reached in *Roy v. Everett*, 48 Wn. App. 369 (Div. 1, 1987). In that case, the plaintiff sued the city of Everett, Snohomish County, five Everett police officers in both their official and personal capacities, three Snohomish County prosecutors and an estate. While the Court recognized that while the permissive and general statute, RCW 36.01.050, would allow suit in an adjacent county, the specific and mandatory statute, 4.12.020, required the case be transferred to Snohomish County as a matter of right. "The City of Everett and the police officers have the right to have the action against them commenced in Snohomish County, the county of their residence." Roy v. Everett, 48 Wn. App. 369, 371-372, 738 P.2d 1090, 1091, 1987 Wash. App. LEXIS 3862, *3-4 citing Russell v. Marenakos Logging Co., 61 Wn.2d 761, 765, 380 P.2d 744 (1963). The Court also held that the officers also have that right under RCW 4.12.020(2). See also State ex rel. McWhorter v. Superior Court, 112 Wash. 574, 192 P. 903 (1920). The Court held that the Plaintiff had no right to sue the defendants in King County.

Here, Lewis county is the only possible defendant and is being sued due to official acts that only the county could carry out under a tax refund statute that has a very specific venue provision written as a mandatory directive to the courts and parties that only the county in which the tax was collected is the proper venue. Lewis County, therefore, has a right to have the action tried in Lewis County. Analytically, the three venue statutes are a permissive statute about defendants generally speaking, a permissive statute in those cases

where the county is a defendant without consideration of the specific cause of action and, finally, a mandatory statute for those cases in which a county is a defendant in a tax refund action where the tax was paid under protest. The most specific, mandatory statute, 84.68.050, supersedes the two general, permissive statutes.

Defendant's motion for a change of venue should be granted as that properly resolves the conflict between 84.68.050, mandating venue in Lewis County and RCW 36.01.050(1), permitting suit in an adjacent county.

IV.

CONCLUSION

For the reasons set forth above, this Honorable Court should grant Defendant Lewis County's motion for an order changing venue and transferring this action from Thurston County Superior Court to Lewis County Superior Court, pursuant to CR 12(b)(3).

DATED July 9, 2021

JONATHAN L. MEYER
Prosecuting Attorney of Lewis County

Andrew Logerwell, WSBA No. 38734
Civil Deputy Prosecuting Attorney
Attorneys for Defendant Lewis County

DECLARATION OF SERVICE

The undersigned hereby certifies under penalty of perjury under the laws of the State of Washington that on the date set forth below, the undersigned served a true copy of this

document upon the attorney for the Plaintiff as noted below, via electronic mail pursuant to an agreement of the parties.

George Matrodonato
Carney Badley Spellman P.S.
701 Fifth Avenue, Suite 3600
Seattle, WA 98107-7010

George Mastrodonato Mastrodonato@carneylaw.com
Anne Gutches Gutches@carneylaw.com

DATED July 9, 2021 in County of Lewis, Washington.

Natalie Dunlap
Civil Paralegal Lewis County

☐ EXPEDITE
☒ **Hearing is set**
Date: July 23, 2021
Time: 9 A.M.
Judge/Calendar: Hon. Erik Price/Civil
☐ No hearing is set.

IN THE SUPERIOR COURT OF THE STATE OF WASHINGTON
IN AND FOR THE COUNTY OF THURSTON

HARDEL MUTUAL PLYWOOD CORPORATION, a Washington corporation,

Plaintiff,

v.

LEWIS COUNTY,

Defendant.

NO. 21-2-01112-34

PLAINTIFF'S RESPONSE IN OPPOSITION TO DEFENDANT'S MOTION TO CHANGE VENUE TO LEWIS COUNTY SUPERIOR COURT PURSUANT TO CR 12(B)(3)

I. INTRODUCTION

Plaintiff Hardel Mutual Plywood Corporation ("Hardel") filed a Complaint with the Thurston County Superior Court, seeking a refund of property taxes paid in excess of the amount properly due in the years 2020 and 2021 to Defendant Lewis County (the "County"). The County immediately moved for an order, changing venue and transferring the action from this Court to the Lewis County Superior Court.

In an action to recover property taxes paid under protest, the plaintiff has a choice of venue under two statutes. First, the property tax code (Title 84 RCW) states that an action to recover property taxes shall be brought in the superior court of the county where the tax was

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collected. RCW 84.68.050.[1] A separate statute – RCW 36.01.050 (sometimes referred to as the "adjacent county statute") – allows "all actions against any county" to be "commenced" in either "the superior court of such county, or in the superior court of either of the two nearest judicial districts" as determined by the Washington State Office of the Administrator of the Courts. RCW 36.01.050(1), (2).[2] The Superior Court of Thurston County is one of the two "nearest judicial districts" to Lewis County.[3] Hardel's lawsuit was filed in this Court under the latter statute, RCW 36.01.050.

The question before the Court is whether venue is proper in Thurston County Superior Court. Hardel believes venue is proper in Thurston County under the controlling authorities and the public policy behind the adjacent county statute, which is to provide plaintiffs with alternative, impartial forum that is free from bias when a county is the defendant. Therefore, Hardel asks the Court to deny the County's motion and allow this action to remain with this Court.

II. EVIDENCE RELIED UPON

This response relies on the accompanying Declaration of George Mastrodonato and the pleadings on file in this case.

---

[1] RCW 84.68.050 reads in relevant part that, "The action for the recovery of taxes so paid under protest shall be brought in the superior court of the county wherein the tax was collected or in any federal court of competent jurisdiction[.]"

[2] RCW 36.01.050 states in relevant part:

(1) All actions against any county may be commenced in the superior court of such county, or in the superior court of either of the two nearest judicial districts. . . .

(2) The determination of the nearest judicial districts is measured by the travel time between county seats using major surface routes, as determined by the administrative office of the courts.

[3] *See* Washington Courts, https://www.courts.wa.gov/court_dir/?fa=court_dir.filingvenue, designating Thurston County as an adjacent county to Lewis County. The other nearest judicial district to Lewis County is Cowlitz County. *Id*.

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III. STATEMENT OF FACTS

On June 16, 2021, Hardel filed a Complaint for Refund of Property Taxes with the Thurston County Superior Court against the Defendant Lewis County. Declaration of George C. Mastrodonato ("Mastro Decl.") ¶ 3; *see* Complaint ("Compl.") ¶ 2. Hardel's lawsuit sought a refund of unlawful and excessive property taxes Hardel paid to the County in the years 2020 and 2021. Mastro Decl. ¶ 4; *see* Compl. ¶ 3. On June 17, 2021, the Thurston County Clerk issued a Notice of Assignment and Notice of Trial Setting Date (for October 15, 2021). Mastro Decl. ¶ 5

Shortly thereafter, counsel for the parties corresponded regarding venue. Mastro Decl. ¶ 6. The County believes that a specific venue statute, here, for property tax refunds (RCW 84.68.050), takes precedent over a general venue statute (e.g., RCW 36.01.050) that the County contends is permissive, and that venue is only proper in Lewis County. *Id*., ¶ 7. The County also provided Hardel with authorities that allegedly showed Hardel to have filed this case in the wrong county. *Id*., ¶ 8. In response, Hardel asserted that venue was proper under RCW 36.01.050(1), which governs all actions against counties. *Id*., ¶ 9. The County stated it intended to file a motion to change venue. *Id*., ¶ 10.[4]

On June 22, 2021, the County filed a Notice of Appearance, a Notice of Hearing and Motion to Change Venue. Mastro Decl. ¶ 11. The foregoing motion asks the Court for an order to change venue and transfer the action from Thurston County Superior Court to Lewis County Superior Court, pursuant to CR 12(b)(3). *Id*., ¶ 12: *see* County's Motion at 1. The

[4] At the same time, the parties agreed the County could delay filing its answer to Hardel's complaint until 30 days after the Court resolves the venue dispute. *Id*., ¶ 10.

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County later filed a Memorandum of Points and Authorities in Support of Motion for Change of Venue ("County's Memo") on July 9, 2021. *Id*., ¶ 13.

IV. ARGUMENT AND LEGAL AUTHORITY

A. The Rules of Statutory Construction As Applied to the Adjacent County Statute Unquestionably Allow Venue in Thurston County.

Plaintiffs have the initial choice of venue. *Eubanks v. Brown*, 180 Wn.2d 590, 595, 327 P.3d 635 (2014). The County agrees that venue "lies with the plaintiff in the first instance." County's Memo at 3, lines 15-16 (quoting *Baker v. Hilton*, 64 Wn.2d 964, 965, 395 P.2d 486 (1964)). If plaintiff's initial choice of venue is not proper, the defendant may either waive its objection to venue or move to transfer the case to where defendant believes venue is proper. *Id.* If the defendant so moves, the Court must determine whether the plaintiff's choice of venue was proper. *Id.* As in all cases involving the interpretation of statutes, "[w]here the meaning of a statute is plain and unambiguous, courts must "give effect to that plain meaning as an expression of legislative intent*." Burns v. City of Seattle*, 161 Wn.2d 129, 140, 164 P.3d 475 (2007).

In an action to recover property taxes paid under protest, the plaintiff has a choice of venue under two applicable statutes. First, RCW 84.68.050, appearing in the property tax code, provides for venue in Lewis County, because that is where the disputed taxes were collected. *See* fn. 1, *supra*. A second statute allows Hardel to file its lawsuit in an adjacent county: "**All** actions against any county may be commenced in the superior court of such county, **or in the superior court of either of the two nearest judicial districts**." RCW

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36.01.050(1) (emphasis added). *See* fn. 2, *supra*. Thurston County is one of the two nearest judicial districts to Lewis County. *See* fn. 3, *supra*.

When interpreting a statute, courts must first look to the statute's plain language. *State v. Armendariz,* 160 Wn.2d 106, 110, 156 P.3d 201 (2007). If the plain language of the statute is subject to only one interpretation, the court's inquiry ends because plain language does not require construction. *Id.; State v. Thornton,* 119 Wn.2d 578, 580, 835 P.2d 216 (1992). "Where statutory language is plain and unambiguous, a statute's meaning must be derived from the wording of the statute itself." *Wash. State Human Rights Comm'n v. Cheney Sch. Dist. No. 30,* 97 Wn.2d 118, 121, 641 P.2d 163 (1982). Absent ambiguity or a statutory definition, courts must give the words in a statute their common and ordinary meaning. *Garrison v. Wash. State Nursing Bd.,* 87 Wn.2d 195, 196, 550 P.2d 7 (1976). To determine the plain meaning of an undefined term, courts look to the common dictionary. *Id.*

As one would expect the term "all" is not defined in RCW 36.01.050. "All" is defined to mean "**1** the whole extent or quantity of . . . **2** the entire number of . . . **3** every one of . . . **4** the greatest possible; as much as possible . . . **5** any; any whatever . . . ." WEBSTER'S NEW WORLD DICTIONARY, Third College Edition (1994) at 35. The statute allows "all" actions against any county to be "commenced in the superior court of such county, or in the superior court of either of the two nearest judicial districts." The plain language of RCW 36.01.050 allows "the whole extent or quantity" of actions, the "entire number" of actions, "every one" of actions, the "greatest possible number" and "as much as possible" actions, and "any" or "any whatever" action to be commenced in the superior court of an adjacent county. "All" is one of those words that clearly self-defines itself to mean "all" and "every" even without the

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use of a dictionary. The plain meaning of the statute supports venue in this Court because Thurston County because is a designated adjacent county to Lewis County?

B. There is No Conflict Between RCW 36.01.050 and RCW 84.68.050; On the Contrary, These Statutes Should – and Must – Be Read As Complementary and Harmonized.

In *Cossel v. Skagit County*, 119 Wn.2d 434, 437, 834 P.2d 609 (1992), the Washington Supreme Court held that where two venue statutes apply, courts must read the statutes as complementary and give effect to both whenever possible. RCW 84.68.050 and RCW 36.01.050 are complementary statutes and both must be given effect here.

The two venue statutes addressed in *Cossel* were RCW 36.01.050 -- the same statute under which Hardel filed this action in Thurston County here -- and RCW 4.12.020, which determines venue in tort actions against counties. *Id.* at 436.[5] *Cossel* determined that RCW 4.12.020 was jurisdictional in nature and, after examining the language of RCW 36.01.050(1), held that this statute was also jurisdictional. *Id.* at 436 ("Clearly, this is jurisdictional language").[6] For purposes of venue in this and similar cases, *Cossel* remains good law in its conclusion that when two venue statutes are "complementary" the plaintiff has a choice of venue, and courts must "read the two statutes so as to give each effect and to harmonize each with the other." *Id.* at 437-38 (quoting *Draper Mach. Works, Inc. v. Dep't of Nat. Resources*,

[5] RCW 4.12.020(3) requires suits arising from motor vehicle accidents to be tried either in the county where the defendant lives or in the county where the accident occurred. *See Cossel* at 435. The court found in *Aydelotte v. Audette*, 110 Wn.2d 249, 253, 750 P.2d 1276 (1988), that this statute was jurisdictional in nature.

[6] Eleven years later, in *Shoop v. Kittitas County*, 149 Wn.2d 29, 65 P.3d 1194 (2003), and after an amendment to the statutory language in RCW 36.01.050(1),, the Supreme Court overruled *Cossel* on the jurisdictional nature of this statute, holding that "the filing requirements of RCW 36.01.050 relate only to venue, not to the trial court's subject matter jurisdiction." Division II of the Court of Appeals agreed that *Shoop's* overruling of *Cossel* was limited ("*Shoop* overruled *Cossel* in holding that RCW 36.01.050 relates only to venue and to subject matter jurisdiction"). *Eubanks v. Brown*, 170 Wn. App. 768, 775 n.2, 285 P.3d 901 (2012)

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117 Wn.2d 306, 313, 815 P.2d 770 (1991)). This same reasoning applies here when ruling on the interaction between RCW 84.68.050 and RCW 36.01.050.

C. Other Rules of Statutory Construction – Such As the Mandatory-Permissive or General-Specific Rules – Are Inapplicable In This Case.

Giving full effect to all applicable statutes whenever possible is the proper way to interpret complementary statutes and takes precedence over other rules of statutory construction. For example, courts do not need to analyze the mandatory-permissive or general-specific rules, as the County argues here, in weighing the two statutes. *See* County's Memo at 3, lines 19-22 ("When interpreting venue statutes, the Washington courts have applied mandatory statutes to the exclusion of permissive ones and specific statutes to the exclusion of general ones" (*citing Eubanks v. Brown* 180 Wn.2d 590, 596 n. 1, 327 P.3d 635 (2014) (mandatory over permissive); *Russell v. Marenakos Logging Co.*, 61 Wn.2d 761, 765, 380 P.2d 744 (1963) (specific over general)). The *Cossel* court ruled that the two venue statutes in that case were "complementary" even though one statute used "shall" and the other used "may." 119 Wn.2d at 437. The court held that, reading RCW 36.01.050 as merely permissive due to the use of the word "may" would "take[] all meaning out of the RCW 36.01.050 language." *Id*.

Here, the property tax venue statute, RCW 84.68.050, uses the word "shall" but this does not mean that venue is *always* in the county where the taxes were paid. Indeed, this statute itself creates venue in the federal courts under circumstances that warrant federal jurisdiction ("The action for the recovery of taxes so paid under protest shall be brought in the superior court of the county wherein the tax was collected *or in any federal court of*

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competent jurisdiction" (emphasis added)).. In this latter case, the plaintiff clearly has a *choice of venue*, a further indication that the Legislature did not intend one county to be the *exclusive* place for venue for tax refund claims in *all* cases.

In a recent landmark preservation case, the Washington Supreme Court addressed the "general-specific rule," which the court described as "a rule of statutory construction that 'a specific statute will prevail over a general statute.'" *Univ. of Washington v. City of Seattle*, 188 Wn.2d 823, 833, 399 P.3d 519 (2017). There, the court held that, while the general-specific rule is "a sound principle of statutory construction *where applicable* . . . before applying the general-specific rule, [the court] must identify a conflict between the relevant statutes that cannot be resolved or harmonized by reading the plain statutory language in context." *Id*. (emphasis added). The court's opinion in *Univ. of Washington* is consistent with the discussion in *Cossel* (the Court must "read the two statutes so as to give each effect and to harmonize each with the other" (quoting *Draper Mach. Works, supra*, (117 Wn.2d at 313)). *Cossel* dealt specifically with venue statutes, in particular RCW 36.01.050, and for the general-specific rule of statutory construction to apply, a conflict between the two venue statutes, which cannot be resolved by reading the plain language of each statute, must be identified. *See Burns v. City of Seattle, supra*.

Here, the County has identified no conflict between RCW 84.68.050 and RCW 36.01.050. This is because no conflict exists. Instead, the County relies on the mandatory-permissive and general-specific rules of statutory construction to eliminate an adjacent county from hearing this case. Nothing impedes this Courts from giving effect to both of these venue statutes inasmuch as article IV, section 6 of the Washington Constitution states, in relevant

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part: "The superior court shall have original jurisdiction in all cases at law which involve the . . . *legality of any tax*, impost, assessment, toll, or municipal fine" (emphasis added).

D. The County's Additional Authorities Also Do Not Help Its Case; In Fact, One Authority Supports Hardel's Position.

The County relies on three additional cases, namely, *Eubanks v. Brown*, 170 Wn. App. 768, 285 P.3d 901 (2012); *Youker v. Douglas County*, 162 Wn. App. 448, 258 P.3d 60 (2011), *review denied*, 173 Wn.2d 1002 (2011); *Roy v. Everett*, 48 Wn. App. 369 (1987), in support of its Motion. *See* County's Memo at 5-6. The facts of these cases are distinguishable from the facts in this case and, therefore, they are neither helpful nor controlling. Nevertheless, at least one of the County's authorities supports Hardel's position.

First, all three of these cases involved individual defendants who were sued either in their individual capacity (*Eubanks*) or related to their official duties (*Youker* and *Roy*). Here, no individuals have been sued and the County is the sole defendant. Second, all three of these cases were decisions of the Court of Appeals and they cannot be read to conflict or overrule the decisions of the Supreme Court in *Cossel* and *Univ. of Washington*. Third, while the County relies on *Youker* to support its position, the decision in that case fully recognizes the plaintiff's right to sue a county (alone or even in conjunction with other defendants) in an adjacent county:

> RCW 4.12.020(2) provides that proper venue for the claims *against the officers* is the county where the cause, or some part thereof, arose a venue the officers have the right to enforce. *RCW 36.01.050 gives a plaintiff the right to sue the county in the county, or, if it prefers, in either of the two nearest judicial districts.* Because objection to improper venue can be waived, a plaintiff suing both a county and its officers can commence its action in an adjacent county and see if the officers accede to its choice. If the officers move to transfer the case to the county in which the events occurred, they face the possibility that

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> only the claims against them— *not the claims against the county*—will be transferred.

162 Wn. App. At 459-460 (emphasis added). Thus, *Youker* reaffirms the principle that when suing a county a plaintiff has a choice of venue under RCW 36.01.050 even when another more specific venue statute may apply. So, these cases do nothing to support the County's argument.

E. The Public Policy Behind the Adjacent County Statute Assures That Plaintiffs Have A Neutral Forum That Is Impartial and Free From Bias.

The resulting choice of venue in this case in an adjacent county is consistent with the purpose and policy behind RCW 36.01.050. As the Washington Supreme Court explained:

> The policy [underlying RCW 36.01.050] is apparently to provide plaintiffs with alternative forums without the need to demonstrate bias or impartiality in any other forum. The statute affords a degree of protection to plaintiffs suing counties without unduly burdening the county officials who must respond to the charges.

Cossel, 119 Wn.2d at 438 (citing *Briedablik, Big Vly., Lofall, Edgewater, Surfrest, North End Comm'ty Ass'n v. Kitsap Cy*., 33 Wn.App. 108, 118, 652 P.2d 383 (1982), overruled on other grounds in *Save Our Rural Env't v. Snohomish Cy*., 99 Wn.2d 363, 367, 662 P.2d 816 (1983)).

In addition, the Court of Appeals in *Eubanks* (a decision of Division II, which the County has cited to support its argument) also quoted with approval the policy behind RCW 36.01.050. *See* 170 Wn. App. at 774-75.[7] Hardel obviously seeks a neutral forum in a nearby

[7] *Eubanks* also distinguished venue statutes dealing with a specific *kind of action* (like RCW 84.68.050) and RCW 36.01.050, which deals with a specific *kind of defendant*. *Id.* at 775 (citing *Johanson v. City of Centralia*, 60 Wn. App. 748, 807 P.2d 376 (1991)). RCW 84.68.050 deals with a specific kind of *action* and permits the plaintiff to bring a property tax refund lawsuit in the county wherein the taxes were paid. However, RCW 36.01.050 deals with a specific kind of *defendant* and allows Hardel the further option of filing suit in adjoining Thurston (or Cowlitz) County. *Eubanks* at 776 (citing *Johanson*, 60 Wn. App. at 750–51).

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county in its property tax refund action against Lewis County. Not surprising, the County, as the defendant in this action, wants the Superior Court of Lewis County to hear this case. The adjacent county statute was enacted by the Legislature for precisely these situations: to bring about an element of fundamental fairness – based on due process – for plaintiffs who might otherwise believe they will not get a fair trial against the county in a court in that county. Finally, it cannot be claimed that there is an undue burden to the County in this case as the distance between Lewis County Superior Court and Thurston County Superior Court is a mere 27.8 miles.[8]

V. CONCLUSION

In conclusion, the relevant authorities allow Hardel to bring this property tax refund action in Thurston County Superior Court. Moreover, the policy underlying RCW 36.01.050 is to assure that plaintiffs have an opportunity for a neutral forum in actions against counties. The County's motion attempts to thwart this strong public policy preference. Because the adjacent county statute allows Hardel to bring this action in Thurston County Superior Court, this Court should deny the County's motion to change venue to Lewis County Superior Court. A proposed order accompanies this response.

[Signature page follows]

[8] https://www.mapquest.com/directions/from/us/washington/lewis-county-superior-court-clerk-352923125/to/us/washington/thurston-county-superior-court-372732085.

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DATED this 16th day of July, 2021.

CARNEY BADLEY SPELLMAN, P.S.



George C. Mastrodonato WSBA #7483
Attorneys for Plaintiff
Hardel Mutual Plywood Corporation

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☐ EXPEDITE
☒ **Hearing is set**
Date: July 23, 2021
Time: 9 A.M.
Judge/Calendar: Erik Price/Civil
☐ No hearing is set.

IN THE SUPERIOR COURT OF THE STATE OF WASHINGTON
IN AND FOR THE COUNTY OF THURSTON

HARDEL MUTUAL PLYWOOD CORPORATION, a Washington corporation, Plaintiff, v. LEWIS COUNTY, Defendant.	NO. 21-2-01112-34 DECLARATION OF GEORGE C. MASTRODONATO

I, George C. Mastrodonato, hereby declare and state as follows:

1. I am over the age of 18 years, not a party to this proceeding and have personal knowledge of the contents of this declaration.

2. I am an attorney employed by Carney Badley Spellman, P.S. We represent the Plaintiff, Hardel Mutual Plywood Corporation ("Hardel"), in this matter.

3. On June 16, 2021, Hardel filed a Complaint for Refund of Property Taxes with the Thurston County Superior Court against the Defendant, Lewis County (the "County").

4. Hardel's lawsuit sought a refund of unlawful and excessive property taxes it paid to the County in the years 2020 and 2021.

5. On June 17, 2021, the Thurston County Clerk issued a Notice of Assignment and Notice of Trial Setting Date (for October 15, 2021).

6. Shortly thereafter, counsel for the parties corresponded regarding venue.

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7. The County believes that a specific venue statute, here, for property tax refunds (RCW 84.68.050), takes precedent over a general venue statute (e.g., RCW 36.01.050) that the County contends are permissive, and that venue is only proper in this case in Lewis County.

8. The County also provided Hardel with authorities that allegedly showed Hardel to have filed this case in the wrong county.

9. In response, Hardel asserted that venue was proper under RCW 36.01.050(1), which governs all actions against counties.

10. The County stated it intended to file a motion to change venue. The parties agreed that the County could delay filing its answer to Hardel's complaint until 30 days after the Court resolves the venue dispute.

11. On June 22, 2021, the County filed a Notice of Appearance, a Notice of Hearing and Motion to Change Venue.

12. The foregoing motion asks the Court for an order to change the venue and transfer the action from Thurston County Superior Court to Lewis County Superior Court, pursuant to CR 12 (b)(3).

13. The County later filed a Memorandum of Points and Authorities in Support of Motion for Change of Venue on July 9, 2021.

I declare under penalty of perjury under the laws of the State of Washington that the foregoing is true and correct to the best of my knowledge.

SIGNED AND DATED this 16th day of July, 2021 at Santa Fe, New Mexico.



George C. Mastrodonato

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Honorable Erik D. Price
Hearing Date: **July 23, 2021**
Hearing Time: **9:00 a.m.**

SUPERIOR COURT OF THE STATE OF WASHINGTON

IN AND FOR THE COUNTY OF THURSTON

HARDEL MUTUAL PLYWOOD CORPORATION, a Washington corporation,

Plaintiff,

v.

LEWIS COUNTY,

Defendant.

Case No. 21-2-00112-34

DEFENDANT LEWIS COUNTY'S REPLY TO PLAINTIFF'S OPPOSITION TO DEFENDANT'S MOTION TO CHANGE OF VENUE TO LEWIS COUNTY SUPERIOR COURT PURSUANT TO CR12(B)(3)

COMES NOW, Defendant Lewis County by and through their attorney of record, Andrew Logerwell, Senior Deputy Prosecuting Attorney, and replies to the Plaintiff's response arguments as follows:

I. Argument

a. Change of venue harmonizes the three relevant statutory sections and is consistent with statutory interpretation

In order to properly interpret the three statutes that touch on venue in this case, the Court should review known legislative intent and give effect to all the words in the relevant statutes. This court's fundamental objective in determining what a statute means is to ascertain and carry out the legislature's intent. If the statute's meaning is plain on its face, then courts must give effect to its plain meaning as an expression of what the legislature intended because a

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statute that is clear on its face is not subject to judicial construction. *Durant v. State Farm Mut. Auto. Ins. Co.,* 191 Wn.2d 1, 8 (2018). The correct interpretation of the statutes in question, the interpretation that gives all the words in the statutes effect recognizes that when the tax venue statute says tax actions shall be brought in the county that collected the taxes, the legislature meant that to predominate over a more general statute for actions against the county in general.

In essence, shall means shall.

Plaintiff solely focuses on the word "all" in reference to actions while ignoring the "may" that follows it. In order to give meaning to the statutes read together, an action may be brought against a county in a neighboring county but a tax action shall be brought in the county of origin.

b. The order in which the statutes were passed supports change of venue.

The sequence in which the statutes were enacted also lends to the same interpretation. RCW 36.01.050 was originally enacted in 1854 with a slight modification that included the administrative office of the court's roll in 1997. *See* RCW 36.01.050. The tax refund venue statute was originally enacted in 1931 and has remained essentially in its current state through three rounds of legislative activity (1937, 1961 and 1989). Had the legislature wanted to amend the statute so that venue was not by mandate in the county in which the taxes were collected it could have done so. *See* RCW 84.68.050. It can therefore be assumed that when the legislature enacted the tax refund statute, including the venue position now found in 84.68.050, it was aware of the more general venue statute for actions against a county.

Plaintiff relies on the Washington Supreme Court's decision in *Cossel v. Skagit County*, 119 Wn.2d 434, 437, 834 P.2d 609 (1992). That case, however, dealt with one statute that

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addressed a type of action, motor vehicles, and another that addressed a county as a defendant. Here, however, the more specific, mandatory statute, drafted after the more general, permissive one, addresses both the defendant *and* the cause of action and so a complementary reading is that the tax refund venue statute is a carve out from the more general permissive statute that only looks to the identity of the defendant. It would also be consistent with other statutes governing real property that require the action related to that property to maintained in the county where the property is situated. *See* RCW 4.12.010, 11.96A.050(1).

Plaintiff asserts without support that the legislature enacted RCW 36.01.050 out of concern for fairness. There is no legislative intent or other applicable record to support that assertion. As noted, supra, the statute was originally enacted in 1854 so there is no record of legislative intent. While the *Cossel* court also mentioned fairness, the Court used the phrase "apparently" because there is no record to support that supposition either by the Court or by the Plaintiff. *Cossel* was relying on *Briedablik v. Kitsap County*, 33 Wn. App. 108 (Div. 1, 1982) which has no citation for the "apparent policy" it was outlining. It is, in essence, dicta. The language of the original statute could just as easily be said to recognize the distance between county seats and the difficulty a plaintiff faced traveling between them in 1854 when the statute was originally drafted.

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II. Conclusion

Defendant's motion should be granted.

Dated July 20, 2021

JONATHAN L. MEYER
Prosecuting Attorney of Lewis County

Andrew Loderwell, WSBA No. 38734
Civil Deputy Prosecuting Attorney
Attorneys for Defendant Lewis County

DECLARATION OF SERVICE

The undersigned hereby certifies under penalty of perjury under the laws of the State of Washington that on the date set forth below, the undersigned served a true copy of this document upon the attorney for the Plaintiff as noted below, via electronic mail pursuant to an agreement of the parties.

George Mastrodonato
Carney Badley Spellman, P.S.
701 Fifth Avenue, Suite 3600
Seattle, WA 98104-7010

George Mastrodonato Mastrodonato@carneylaw.com
Anne Gutches Gutches@carneylaw.com

DATED July 20, 2021 in County of Lewis, Washington.

Natalie Dunlap
Civil Paralegal Lewis County

Honorable Erik D. Price
Hearing Date: **July 23, 2021**
Hearing Time: **9:00 a.m.**

SUPERIOR COURT OF THE STATE OF WASHINGTON

IN AND FOR THE COUNTY OF THURSTON

HARDEL MUTUAL PLYWOOD CORPORATION, a Washington corporation,

Plaintiff,

v.

LEWIS COUNTY,

Defendant.

Case No. 21-2-00112-34

(PROPOSED) ORDER GRANTING DEFENDANT LEWIS COUNTY'S MOTION TO CHANGE VENUE TO LEWIS COUNTY SUPERIOR COURT PURSUANT TO CR 12(B)(3)

This matter comes before the Court upon the motion of Defendant Lewis County, for an order changing venue and transferring this action from Thurston County Superior Court to Lewis County Superior Court pursuant to CR 12(b)(3). Senior Civil Deputy Prosecuting Attorney Andrew Logerwell appears on behalf of Lewis County. Plaintiff Hardel Mutual Plywood is represented by their counsel, George Mastrodonato, of the firm Carney Badley Spellman, P.S.

Having reviewed the motion, papers filed in response thereto, and the other documents on file in this matter therefore

THE COURT NOW ORDERS AS FOLLOWS:

1. Defendant Lewis County's motion is GRANTED and this action is hereby transferred from Thurston County Superior Court to Lewis County Superior Court.
2. THE COURT FURTHER ORDERS AS FOLLOWS:
    a. This Order involves a controlling question of law on the proper venue for this case for which there is substantial grounds for a difference of opinion. The Court finds that immediate review of this Order under RAP 2.3(b)(4), as requested by the parties, will materially advance the ultimate termination of this case on the question whether it will be tried in Lewis County or Thurston County. The Court therefore certifies this ruling for an interlocutory appeal.

Dated this ___ day of July, 2021.

_____
Hon. Eric Price
Judge of the Superior Court

SUPERIOR COURT OF WASHINGTON
IN AND FOR THURSTON COUNTY

HARDEL MUTUAL PLYWOOD CORPORATION, a Washington corporation,

Plaintiff/Petitioner,

v.

LEWIS COUNTY,

Defendant/Respondent.

No. 21-2-01112-34

ORDER REGARDING SCHEDULED CIVIL MOTION

*Clerk's Action Required

A motion hearing is scheduled in this case on Friday, July 23. 2021. The Court has modified its procedures and limited in-person hearings. *See* Thurston County Superior Court Emergency Administrative Orders in Cause No. 20-2-00001-34 (available on the court's website). All pleadings must be timely filed and served on all parties. **Proposed orders must be filed no later than noon the day before the hearing.**

It is ORDERED that:

☒ The motion will be heard without oral argument (based only on the pleadings), and the parties/attorneys shall not appear in court. The Court will issue a written order. **The hearing may be stricken if no proposed order is filed.**

☐ This motion is set for **telephonic** argument at _____ on the date indicated above. The parties/attorneys shall call (360) 252-9686, use password access code **1234#** prior to the hearing time, and mute audio if possible until your matter is called in open court.

☐ The parties/attorneys shall appear remotely if possible. Page 2 of this order contains instructions for participating or observing a remote hearing. The hearing will be in open court at _____ on the date above.
Zoom Meeting ID is: **990 7988 8683** Passcode is: **12345**

☐ This motion is set for in-person argument at _____ on the date above.

DATED: July 19, 2021

Judge Erik D. Price

THURSTON COUNTY SUPERIOR COURT
2000 Lakeridge Dr. S.W., Bldg. 2
Olympia, WA 98502
(360) 786-5560

☐ EXPEDITE
☒ **Hearing is set**
Date: July 23, 2021
Time: 9 A.M.
Judge/Calendar: Hon. Erik Price/Civil
☐ No hearing is set.

SUPERIOR COURT FOR THE STATE OF WASHINGTON
IN THE COUNTY OF THURSTON

HARDEL MUTUAL PLYWOOD CORPORATION, a Washington corporation, Plaintiff, v. LEWIS COUNTY, Defendant.	NO. 21-2-01112-34 ORDER DENYING DEFENDANT'S MOTION TO CHANGE VENUE TO LEWIS COUNTY SUPERIOR COURT PURSUANT TO CR 12(B)(3)

ORDER

THIS MATTER came before the Court on July 23, 2021, on the motion of the defendant to change venue of this action to Lewis County Superior Court pursuant to CR 12(B)(3).

The plaintiff, Hardel Mutual Plywood Corporation, was represented by George C. Mastrodonato and Carney Badley Spellman, P.S. The defendant, Lewis County, appeared through Jonathan L. Meyer, Prosecuting Attorney, and Andrew Logerwell, Civil Deputy Prosecuting Attorney.

The Court considered the documents filed by the parties in support of, and in opposition to, the motion to change venue and heard the arguments of counsel. ,

NOW, THEREFORE, IT IS HEREBY ORDERED that:

1. Defendant's motion to change venue to Lewis County Superior Court is DENIED.

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Seattle, WA 98104-7010
(206) 622-8020

2. This action shall remain, as originally filed by the plaintiff, and venue shall be, in Thurston County Superior Court.

DATED this 23rd day of July, 2021.

The Honorable Judge Erik Price

Presented By And Agreed To By:

CARNEY BADLEY SPELLMAN P.S.

GEORGE MASTRODONATO, WSBA. No. 7483
Attorneys for Plaintiff
Hardel Mutual Plywood Corporation

Approved as to form,
Notice of presentation waived:

JONATHAN L. MEYER
Prosecuting Attorney of Lewis County

Andrew Logerwéll, WSBA No. 38734
Civil Deputy Prosecuting Attorney
Attorneys for Defendant Lewis County

☐ EXPEDITE
☒ **Hearing is set**
Date: July 23, 2021
Time: 9 A.M.
Judge/Calendar: Erik Price/Civil
☐ No hearing is set.

IN THE SUPERIOR COURT OF THE STATE OF WASHINGTON
IN AND FOR THE COUNTY OF THURSTON

HARDEL MUTUAL PLYWOOD CORPORATION, a Washington corporation, Plaintiff, v. LEWIS COUNTY, Defendant.	NO. 21-2-01112-34 PLAINTIFF'S STATEMENT OF ADDITIONAL AUTHORITIES

Plaintiff Hardel Mutual Plywood Corporation hereby files the following Statement of Additional Authorities in further support of Plaintiff's arguments in its Opposition Response and as part of the rejoinder to Defendant Lewis County's Reply that Plaintiff would have made had there been oral argument in this matter prior to the Court's ruling on July 23, 2021.

As to Defendant's statement that "[t]here is no legislative intent or other applicable record to support" Plaintiff's assertion that the Legislature enacted RCW 36.01.050 (the adjacent county statute) out of concern for fairness (Defendant's Reply in Support of Motion to Change Venue at 3, lines 9-11), Plaintiff submits the following additional authorities:

Youker v. Douglas County, 162 Wn. App. 448, 457, 258 P.3d 60 (2011) (citing *Cossel v. Skagit Cnty.*, 119 Wn. 2d 434, 438, 834 P.2d 609 (1992), *overruled on other grounds by Shoop v. Kittitas Cnty.*, 149 Wn.2d 29, 65 P.3d 1194 (2003)) (emphasis added):

> Mr. Youker commenced his action in Chelan County in reliance on RCW 36.01.050(1), which provides that actions against a county "may be commenced in the

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superior court of such county, or in the superior court of either of the two nearest judicial districts." ***The purpose of the statute is to alleviate concerns of hometown bias when suing counties***.

Briedablik, Big Valley, Lofall, Edgewater, Surfrest, North End Community Association et al. v. Kitsap County, 33 Wn. App. 108, 117-19, 652 P.2d 383 (1982), *overruled on other grounds,* 99 Wn.2d 363, 367 (1983) (emphasis added):

> [Under the common law rule counties were] granted a significant advantage over other individuals or corporations in that they cannot be compelled to defend themselves in distant forums. That was the purpose of the common law rule that counties need not defend in extraterritorial courts. [citation and quotation omitted].
>
> The Legislature modified the common law rule only by allowing suit in an adjoining county. RCW 36.01.050. The policy behind the modification is apparently to provide plaintiffs with alternative forums without the need to demonstrate bias or impartiality in any other forum. The statute affords a degree of protection to plaintiffs suing counties without unduly burdening the county officials who must respond to the charges…The statute is composed of two parts; the first dealing with actions by others against counties which may be commenced in the county or in an adjoining county, and the second dealing with actions by counties which shall be commenced in the county in which the defendant resides or in an adjoining county. ***The solicitude of the statute is for the fairness of the forum to the other party, not to the county.*** A plaintiff can avoid the county as the forum when the county is the defendant and a defendant cannot be sued by a county with the plaintiff county as the forum unless the defendant resides therein. ***The legislation reflects a recognition of the power of the sovereign and the weakness of the individual, permitting a county to sue the individual within its borders only if the defendant is, at least, a resident thereof. . . .***
>
> ***In summary, RCW 36.01.050 expressly removes counties from the general venue provisions of RCW ch. 4.12.*** . . . In permitting actions against counties to be tried in adjoining counties, the legislature intended to afford litigants a relatively convenient alternative forum in which to bring their actions. . . . In such circumstances ***private litigants should not be required to appear in the superior court of the same county where those same county officials exercise financial control over the budgets of the court. Requiring private litigants to try their cases under such circumstances violates the tenets of the appearance of fairness doctrine***. This choice of forum is a right statutorily accorded the parties, and is not dependent upon any showing of partiality or inability to obtain a fair trial in the subject county. Absent clear evidence of a contrary legislative intent, we conclude that the general change of venue statute is not applicable to suits against counties. ***If suit is commenced against a county in a proper forum, the superior court lacks statutory authority to transfer venue to another county, even to a county where the action originally could have been brought.***

CARNEY BADLEY SPELLMAN, P.S.
701 Fifth Avenue, Suite 3600
Seattle, WA 98104-7010
(206) 622-8020

DATED this 21st day of July, 2021.

CARNEY BADLEY SPELLMAN, P.S.



George C. Mastrodonato WSBA #7483
Attorneys for Plaintiff
Hardel Mutual Plywood Corporation

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SUPERIOR COURT OF WASHINGTON
FOR THE COUNTY OF THURSTON

HARDEL MUTUAL PLYWOOD CORPORATION, a Washington corporation, Plaintiff, vs. LEWIS COUNTY, Defendants.	No. 20-2-01112-34 **ORDER GRANTING MOTION TO CHANGE VENUE**

Defendant Lewis County has moved to change venue of this case to Lewis County asserting that RCW 84.68.050 requires the action to be brought there. Plaintiff objects arguing that RCW 36.01.050 permits the action to be brought in Thurston County.

Resolution of the motion requires an analysis of the two statutes. *Ralph v. Weyerhaeuser*, 187 Wn.2d 326, 338 (2016), states:

> When interpreting venue statutes, this court has applied mandatory statutes to the exclusion of permissive ones and specific statutes to the exclusion of general ones. However, when confronted with two equally applicable statutes, we have held that they may be interpreted as "complementary," giving plaintiffs the option of which statute to proceed under. (internal citations omitted).

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Reading the language of the two statutes, the Court is persuaded that RCW 84.68.050 is both mandatory *and* specific, whereas RCW 36.01.050 is permissive and less specific. Accordingly, Defendant's motion is granted and venue shall be transferred to Lewis County.

So Ordered.

DATED this 23rd day of July, 2021.

Judge Erik D. Price

THURSTON COUNTY SUPERIOR COURT
2000 Lakeridge Dr. S.W.
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Operations Manual

Property Tax Levies

Department of Revenue
Washington State

Property Tax Division
September 2021

Online Operations Manual – Tips and Updates

This manual is made available online to provide the most current and complete version of the Operations Manual to all users. The manual is designed for the convenience of the 39 county assessors and the Department of Revenue. It is also a useful tool for other county officials, taxing district officials, legislators, and, of course, taxpayers.

Unlike previous "hard copy" versions of the manual, this working document relies on "links" to the many statutes (Revised Code of Washington), rules (Washington Administrative Code), and Departmental forms that are used in the property tax levy process. The most commonly used levy statutes and rules are included in the text of the manual.

By clicking on a link, you "jump" to a source document that has the latest version of the document. For statutes and rules, the source is the Washington State Legislature's website (http://www1.leg.wa.gov/LawsAndAgencyRules/). For forms and publications, the source is the Department of Revenue's website (www.dor.wa.gov).

The manual is maintained by the Property Tax Division of the Washington State Department of Revenue. If you have any questions or suggestions about using this manual, please contact Diann Locke at DiannL@dor.wa.gov or (360) 534-1427.

Printing from the Online Manual

The basic narrative of the manual, the forms, and the publications are generally in "PDF" or "Word" format and can be printed using your computer's print function. However, when you wish to print a statute or rule that you have "linked" to, remember to click on a "printable version" before using your computer's print button.

Notification of Updates to the Manual

The recent updates will be listed in the online manual. If you reprint your manual at this time, the updates listed below will be included. Be sure to transfer any notes you made in your old manual to the new manual!

If the amount to be repaid by the district is $20,000:

Levy Limit Calculation	=	$100,000
Refund		+ 20,000
		$120,000 / $220,000 = $.54545**

** This total is over the statutory levy amount ($.50). Therefore, the district's levy would be reduced by $.04545. This amount (.04545 x 220,000 = $10,000) would reduce the $100,000 budget of the district before the refund was made to $90,000. The total amount collected would then again be $110,000, but the amount the district would get would be $90,000 not $100,000.

Q. ***What do you do with any money left in the Refund Fund after the refund has been paid?***

A. The money can be retained in the fund as authorized by RCW 84.68.030.

Q. ***Can a county pay the total amount of a refund involving other taxing districts?***

A. No. RCW 84.69.080 states, "Neither any county nor its officers shall refund amounts on behalf of a taxing district from county funds."

Q. ***If a district is ordered to pay an adjudicated refund and they already have the funds to pay it, do they still have to levy for it?***

A. Yes. A district may have the county treasurer transfer money from funds already available into the Refund Fund so it can pay the adjudicated refund, but the district must still levy for it the following year. When the amount of the refund is added to the following year's levy and tax revenues are received by the county treasurer, the treasurer should deposit the tax revenues attributable to the refund back into the original source.

Q. ***Can a taxing district levy a refund levy when the reduced property tax did not actually result in a refund to the taxpayer?***

A. Yes. RCW 84.69.180 authorizes taxing districts, other than the state, to levy for refunds and abatements. The refund levy covers refunds paid or to be paid, plus taxes abated or canceled that did not result in a refund to the taxpayer, offset by any supplemental taxes collected within the preceding 12 months. If the taxpayer paid the tax more than once or the refund was due to highly valued disputed property appeal, those refund amounts are not part of the refund levy calculation.

Q. ***If a district is ordered to pay an administrative refund and they already have the funds to pay it, do they still have to levy for it?***

A. No. A district may choose whether to add administrative refunds to the following year's property tax levy. If a district chooses to do so, they must contact the county treasurer to obtain the refund amounts and also notify the assessor as to their intent to levy for them.

Q. ***Under what chapter are refunds authorized for special assessments?***

A. Chapter 84.69 RCW. This is because RCW 84.69.020 applies only to "ad valorem taxes," and a special assessment should not be an ad valorem tax because the market value of the property generally does not equate to the value received by the property from the special assessment district.

CARNEY BADLEY SPELLMAN

September 14, 2021 - 9:42 AM

Transmittal Information

Filed with Court:	Supreme Court
Appellate Court Case Number:	100,129-1
Appellate Court Case Title:	Hardel Mutual Plywood Corp. v. Lewis County
Superior Court Case Number:	21-2-01112-1

The following documents have been uploaded:

- 1001291_Motion_Discretionary_Review_20210914093758SC501028_4473.pdf
  This File Contains:
  Motion for Discretionary Review - Discretionary Review Superior Ct.
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A copy of the uploaded files will be sent to:

- Andrew.Logerwell@lewiscountywa.gov
- LPDarbitration@ATG.WA.GOV
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- kevin.mcdowell@lewiscountywa.gov
- mastrodonato@carneylaw.com

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